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MILITARY STANDARD

UNIFORM COST ACCOUNTING AND REPORTING SYSTEM (UCARS)

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DEPARTMENT OF DEFENSE
Washington, DC 20301

MIL-STD-1260

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FOREWORD

1. This Military Standard, dated March 1986 was developed based on the cooperative efforts of various test GOCO contractors, a private consulting firm, and HQ, U.S. Army Armament, Munitions and Chemical Command (AMCCOM).

2. The practices and procedures contained in this standard are applicable to the management and control of both process cost and job order systems. Each GOCO contractor applies their own management expertise, accounting techniques, and cost controls. The intent of this standard is to bring uniformity to the accounting systems of the GOCO plants through the guidelines of the Cost Accounting Standards.

3. In May of 1972, the Joint Panel for the Development of a Coordinated Management System for DOD Ammunition Production Base addressed the problem of lack of uniformity and comparability and recommended the installation of a uniform cost accounting and reporting system in the ammunition GOCO complex.

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1. SCOPE

1.1 Purpose. This standard prescribes principles for the accumulation, distribution and reporting of cost at GOCO ammunition plants. It will incorporate accepted accounting practices for both process and job order cost systems.

1.2 Application. The Uniform Cost Accounting and Reporting System (UCARS) established by this standard applies to all GOCO ammunition plants operated by DOD.

2. REFERENCED DOCUMENTS (Not applicable)

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3. DEFINITIONS

3.01 Accrual: An estimated charge to operations for a cost whose amount is not known but will be incurred. An example of an accrual would be vacation cost charged to operations during the year. To assure that the accrual equals the actual cost of the vacation, UCARS uses a clearing account.

3.02 Actual cost: An amount determined on the basis of cost incurred.

3.03 Allocate: To assign an item of cost, or a group of items of cost, to one or more cost objectives. This term includes both direct assignment of cost and the reassignment of a share from an indirect cost pool.

3.04 Award Fee: Variable amount of fee that is determined by an evaluation of the contractor's overall performance.

3.20 Base Fee: Fixed flat amount that is stated in the contract.

3.21 Bill of Material: List of required quantities by type of material needed for the production of an intermediate product, end product, or project.

3.22 By Products: Products that are generated by the nature of the production process, are minor in nature, and are not intermediate or end products. An example would be the red water generated by the production of Trinitrotoluene (TNT).

3.40 Capital Assets: See Tangible Capital Asset (3.400).

3.41 Clearing Account: Control account used to record the flows of accrual charges and actual costs in order to measure the difference or equalize the flows by adjustment of the accrual.

3.42 Coding Structure: Prescribed number, order, and logic of digits and/or letters used to identify transactions for cost accounting purposes. The coding structure will identify the cost center, purpose code, and object code at a minimum.

3.43 Compensated Personal Absence: Any absence from work for reasons such as illness, vacation, holidays, jury duty or military training, or personal activities, for which an employer pays compensation directly to an employee in accordance with a plan or custom of the employer.

3.44 Contractual Period: Period over which a contract is binding on both parties. Usually, this period is five years with cost negotiated on an annual or semi-annual basis.

3.45 Control Account: Object account which aggregates similiar items into one balance. The identification of the individual items is maintained in subsidiary records.

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3.46 Cost Absorption: Process of offsetting the actual costs incurred with the standard costs allowed.

3.47 Cost Center: The lowest level responsibility unit for which budgets are developed, costs are accumulated, and performance is reported. This term is interchangeable with department.

3.48 Cost Center Classification: Grouping of cost centers according to a specific common characteristic as reflected in 5.1.1.4. In UCARS there are eight cost centers classifications which are grouped generally by function for reporting purposes to AMCCOM.

3.49 Cost Center Code: Number assigned to the cost center which is used in the accounting system.

3.50 Cost Objective: A function, organizational subdivision, contract or other work unit for which cost data are desired and for which provisions are made to accumulate and measure the cost of processes, products, jobs, capitalized projects, etc.

3.51 Cost-Type Contract: Contract with the Government, under which the contractor is reimbursed for contract related allowable expenditures on a full-cost basis and, in addition, is paid a fee for performance of the contract.

3.52 Cost Pool: Aggregation of costs according to a specified classification for a common allocation to cost objectives.

3.53 Cost System: That portion of the accounting system including the source documents, records, reports and procedures that is used to accumulate, summarize, and report noncapital expenditures.

3.60 Departments: Cost Centers (see 3.47)

3.61 Direct Charge: Synonomous withDirect Costs (see 3.63). Direct Labor is further defined as "hands on" in 3.64.

3.62 Direct Charge Labor: Labor, other than direct labor (see 3.64), which is identified specifically with a particular final cost objective.

3.63 Direct Cost: Any cost which is identified specifically with a particular final cost objective. Direct costs are not limited to items which are incorporated in the end product as material or labor. Costs identified specifically with a contract are direct costs of that contract. All costs identified specifically with other final cost objectives of the contractor are direct costs of those cost objectives.

3.64 Direct Labor: Labor that is incurred within a production cost center and is an integral and necessary part of the production line "hands on" as reflected in 5.3.1.1.

3.65 Direct Labor Variance: The total of the direct labor rate variance and the direct labor efficiency variance (as reflected in 5.2.4.1 illustration 1).

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3.66 Direct Materials: Materials that are prescribed in technical data packages used in the production process and which become an integral part of the products. Materials that are consumed in the production process but which do not become an integral part of the product are classified as supplies. All materials charged direct by purpose codes to a project are considered direct material.

3.67 Direct Material Variance: The total of the direct material price variance and the direct material usage variance (as reflected in 5.2.4.1, illustration 1).

3.68 Directly Associated Cost: Any cost which is generated solely as a result of the incurrence of another cost, and which would not have been incurred had the other cost not been incurred.

3.80 End Product: An item of production that has a separate contract line item number (CLIN). There are currently two types of end products, standard and special.

3.81 Engineering Standards: Production standards which are established by an objective analysis of the production requirements and production resources.

3.82 Estimating Costs: The process of forecasting a future result in terms of cost, based upon information available at the time.

3.83 Expressly Unallowable Cost: A particular item or type of cost which, under the express provisions of an applicable law, regulation, or contract, is specifically named and stated to be unallowable.

3.100 Fee: Amount paid, above cost, to a contractor by the Government on a cost plus contract for performance of the contract.

3.101 Final Cost Objective: A cost objective which has allocated to it both direct and indirect costs and in the contractor's accumulation system is one of the final accumulation points.

3.102 Finished Goods Inventory: Inventory of standard end products that have been completed to specifications and which have not been transferred to the customer.

3.103 Fiscal Year: The accounting period for which annual financial statements are regularly prepared, generally a period of 12 months, 52 weeks, or 53 weeks. UCARS allows the GOCO plants to maintain the current fiscal year for the budgetary and control cycle. Contract year and fiscal year are the same for purposes of this Standard.

3.104 Fringe Benefits: Costs incurred for the direct benefit of employees which includes compensated personal absences paid to the employees in the form of wages and salaries (vacations, holidays, etc.) and other benefits which are not paid directly to employees (life and medical, unemployment compensation insurance, etc.).

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3.120 General & Administration (G&A) Expense: Any management, financial, and other expense which is incurred by or allocated to a business unit, and which is for the general management and administration of the business unit as a whole. G&A expense does not include those management expenses whose beneficial or causal relationship to cost objectives can be more directly measured by a base other than a cost input base representing the total activity of a business unit during a cost accounting period.

3.121 Government Furnished Materials: Plant purchased/fabricated material that has been considered excess but retained in inventory at the direction of AMCCOM. This material would have been charged to previous orders and will be available at no cost to future orders. This definition is for reporting purposes only.

3.140 Home Office: An office responsible for directing or managing two or more, but not necessarily all, segments of an organization. It typically establishes policy for, and provides guidance to the segments in their operations. It usually performs management, supervisory, or administrative functions, and may also perform service functions in support of the operations of the various segments. An organization which has intermediate levels, such as groups, may have several home offices which report to a common home office. An intermediate organization may be both a segment and a home office.

3.160 Idle Time: Non-productive time due to daily losses, such as start-up, breaks, clean-up and non-routine losses, such as equipment breakdown, GFM shortage etc.

3.161 Incentive Fee: Variable amount of fee which is determined by a formula that relates cost performance to a target cost.

3.162 Indirect Cost: Any cost not directly identified with a single final cost objective, but identified with two or more final cost objectives or with at least one intermediate cost objective.

3.163 Indirect Cost Pool: A grouping of incurred costs identified with two or more objectives but not identified specifically with any final cost objective.

3.164 Intermediate Product: A component product used in the manufacture of an end item within the same plant. Items which are necessary and will become an integral part of the end product, when costed to the end product, will maintain the separate cost elements of identity (i.e., direct labor, direct material, overhead).

3.220 Labor Cost At Standard: A pre-established engineered measure of the labor element of cost, computed by multiplying standard labor-rate by standard labor-time.

3.221 Labor-Rate Standard: A pre-established engineered measure, expressed in monetary terms, of the price of labor.

3.222 Labor-Time Standard: A pre-established engineered measure, expressed in temporal terms, of the quantity of labor.

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3.240 Management Fee: Fixed amount which is paid on a monthly basis for the operation of the facility.

3.241 Material Cost at Standard: A pre-established measure of the material element of cost, computed by multiplying material-price standard by material-quantity standard.

3.242 Material-Price Standard: A pre-established measure expressed in monetary terms, of the price of material.

3.243 Material-Quantity Standard: A pre-established measure expressed in physical terms of the quantity of material.

3.244 Memorandum Projects: Nonproduction related activity which the Procurement Contracting Officer authorized such as for GFM rework and special studies.

3.245 Moving Average Cost: An inventory costing method under which an average unit cost is computed after each acquisition by adding the cost of the newly acquired units to the cost of the units of inventory on hand and dividing this figure by the new total number of units.

3.280 Object Code: The object codes in UCARS identify the type or nature of expenditures such as supplies, travel, labor and professional services and are collected by responsible cost centers.

3.281 Operating Cost: Cost incurred for the operation of an organizational unit.

3.282 Other Direct Cost: This includes outside services and direct purchases of material, such as tooling, that can be directly charged to the benefiting cost objective. This cost will be excluded from the value added base.

3.300 Performance Variances: Variances that state the deviation of actual performance from planned performance. In UCARS these variances are always stated in terms of dollars.

3.301 Perpetual Inventory: Record used to record the daily movement of items in and out of inventory and their effect on the inventory balance. This record is always maintained in quantities but may incorporate dollars.

3.302 Physical Inventory: The process of counting or measuring the inventory as it exists at any point in time.

3.303 Plant Procured Material: Direct material items bought by the contractor to be used as material in an end item or product.

3.304 Products: An item which is manufactured, assembled, or lapped by a contractor.

3.305 Production Cost Center Overhead: All costs incurred within production cost centers except direct labor and project costs, including supervision, clerical, maintenance, and supplies.

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3.306 Production Cost Center Overhead Variance: This measures the estimated production overhead required versus the actual incurred.

3.307 Production Line: Series of physical production facilities through which an intermediate or end product normally flows and which contains the necessary production operations.

3.308 Production Standards: Standards which are established for the production of a product. These standards identify quantities and costs of direct material, direct labor, and production overhead. Standards are to be for the expected level of production for the coming period.

3.309 Projects: Nonproduction related activity that usually receive separate funds such as modernization, experimentation, family housing, and stand by maintenance.

3.310 Purpose Code: Codes used to identify the purpose of a cost such as intermediate product; end product, project, memorandum project, or special activity. Direct charges are identified by purpose codes.

3.340 Responsibility Accounting: Cost accounting configuration that is designed to budget, accumulate and report cost performance by responsibility.

3.360 Salaried-Exempt: Salaried individuals who do not receive overtime pay.

3.361 Salaried-Nonexempt: Salaried individuals who receive overtime pay.

3.362 Saleable Scrap: Scrap that is generated by plant operations which is sold for its material content.

3.363 Special Product: Usually a short run where no standards are available.

3.364 Standard Product: A product whose costs have engineered standards.

3.400 Tangible Capital Asset: An asset that has physical substance, more than minimal value and is expected to be held by an enterprise for continued use or possession beyond the current accounting period for the services it yields.

3.420 Variance: The difference between a pre-established measure and an actual measure.

3.421 Value Added: Total contract cost less direct material and subcontract costs.

3.440 Weighted Average Cost: An inventory costing method under which an average unit cost is computed periodically by dividing the sum of the cost of beginning inventory plus the costs of acquisitions, by the total number of units included in these two categories.

3.441 Work-In-Process Materials: Account used to record the amount of direct material included in the work-in-process inventory.

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3.442 Work-In-Process Inventory: Inventory of intermediate products or end products that have not been completed to specifications.

3.443 Work Order System: A collection system which identifies labor and materials as they are consumed in performance of an assigned job.

4. GENERAL REQUIREMENTS.

4.1 Objective: The overall objective of UCARS is to obtain uniformity in the reporting of costs through the guidelines of the Cost Accounting Standards, which will allow for better decision making capability.

4.1.1 Common Definitions. The use of common definitions to insure that direct labor, direct material, and overhead are defined the same way at each AMCCOM GOCO plant.

4.1.2 Common Coding Elements: To insure that each contractor's cost coding structure will provide the indentity of a cost center, purpose code, and object code.

4.1.3 Common Types of Directly Associated Costs: To establish the basis of determining which types of cost can be directly charged to products and projects (final cost objectives).

4.1.4 Common Cost Center Classification Categories and Allocations of Indirect Costs: To establish a uniform method for accumulating cost in similar categories and then specifying the basis for allocating the indirect cost pools of overhead to products and projects.

4.1.5 Uniform Reporting: The use of a cost report which satisfies both internal management needs and the Government requirements.

4.2 Responsibility Accounting: This system recognizes various responsibility centers (some plants will interchange this term with cost centers or departments) throughout an organization for planning and cost control. The essential concept is to accumulate costs at the lowest practical level in an organization so that a single individual is responsible for cost control. The budgeting process will also begin at the same level. Actual cost accumulation and comparison to plan will only include those costs which the responsible individual can influence. With this system all costs must be budgeted, accumulated and reported by cost center except for direct materials; fees; inventory adjustments related to direct charge supplies; direct materials; and outside services. There are no allocations of indirect cost pools from classifications to the individual centers. This direct accumulation by responsible center in the accounting records is the basis, however, for subsequent allocations of costs to products, non-production efforts, or other responsibility centers (maintenance only) in order to meet information requirements. This system allows each plant to maintain its organization structure, however, it may require the redefinition of cost centers and may encourage the realignment of some responsibilities to achieve the efficient operation of UCARS and internal management.

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4.3 Product Costs Using Standards: UCARS requires that standards be developed in the identification of product costs. The standards developed will either be incorporated in the accounting system (a standard process system) or if an actual cost system is used, will be incorporated into the (budget) cost estimate for comparative purposes. Standards should be developed for the following elements:

a. Direct labor (see 3.64).

b. Direct material (see 3.66).

c. Production cost center overhead (see 3.305).

4.4 Variance Accounting: Consistent with sound management information systems principles, variances are statements of differences between budgeted or standard costs and actual costs reported. The following variances are incorporated into UCARS:

a. Material price (see 3.242) and Quantity (see 3.243).

b. Direct labor rate (see 3.221) and Time (3.222).

c. Production cost center overhead (Budgeted cost vs. actual).

The above variances are identifiable by product and, with the exception of the material variances, are also identifiable by responsibility cost centers.

4.5 Accrual Basis of Accounting: This is used because it provides a better matching of incurred costs to the resulting products than cash basis accounting which records financial transactions only when cash is received or disbursed.

4.6 Cost Center Cross Charging: Cost center cross charging is the process of accumulating costs through a work order system within a cost center and then charging these costs to other cost centers, which, in turn, allocate their costs and those received to other cost centers. This process continues until all costs are charged to final cost objectives. With the exception of the Maintenance Cost Centers, there are no functional classification cross charges in UCARS. For the Maintenance Cost Centers, standard or actual rates per maintenance hour are established, including maintenance overhead, and used to charge other cost centers for incurred maintenance cost through the work order system.

4.7 Unique Characteristics: Flexibility to accomodate unique characteristics of a plant is incorporated. It is recognized that no two plants are exactly alike. For example, UCARS was designed to be operated either manually or on automatic data processing equipment. As such, UCARS provides the individual plants flexibility in the identification of responsibility centers, accounts maintenance and the detail of information collected, provided that the specified logic, summarization of information, allocation of costs and Governmental reporting procedures are adhered to.

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5. DETAILED REQUIREMENTS.

5.1 Coding Structure: The cost coding structure is an important key to the workability of UCARS. To provide for the needs of UCARS, three elements have to be identifiable in the structure. These are cost centers, purpose codes, and object codes.

5.1.1 Cost Centers: The configuration of the cost centers is critical to the proper functioning of UCARS. Three major purposes are served by the cost centers:

a. Facilitate budget preparation.

b. Establish a control point for all cost accumulation and reporting.

c. Provide for the equitable allocation of similar costs to products and projects.

5.1.1.1 To attain these objectives, the following guidelines should be used in establishing the individual cost centers:

a. A single individual must be organizationally responsible for the cost center.

b. To the extent possible, the cost center should perform a single function. It is mandatory that functions included in more than one cost center classification, as specified by UCARS, cannot be grouped together in a single cost center. The cost center classifications are G&A, engineering, facilities, utilities, maintenance, material management, production support and production. The functions included in each classification are identified in paragraph 5.1.1.4.

c. To the degree possible, the cost center should be related by production line(s) or project(s).

5.1.1.2 The level of detailed cost centers established in any one branch of the organization will be judgmental. In exercising this judgment, the advantages to be gained in more effectively achieving the major purposes should be weighted against the following considerations:

a. Significance with respect to increased control or better cost distribution to the individual products and projects.

b. Increased clerical cost and complexity.

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5.1.1.3 UCARS recognizes that the various plants have different organizations, managerial philosophies, and data processing capabilities. As such, the specific cost centers established will vary by plant and will initially be jointly determined by the plant and implementation team. Thereafter, changes will be made only to recognize organizational changes or to more effectively achieve the major cost center purposes. Such changes must be forwarded throughout the Contracting Officer's Representative for approval by the appropriate headquarters.

5.1.1.4 Eight major functional classifications have been established to group together the cost centers for the purpose of cost distribution to products and projects. The cost centers within a functional classification should relate to the nature of the work performed not the type of individuals in the cost center.

These functional classifications are:

a. General and Administrative (G&A) (see definition 3.120). The following are classified as G&A: plant managers ("Executive" or "Confidential" payroll, where the salary costs are reflected in the Plant Manager's cost center, will be limited to first line managers only); assistants and clerical staff; internal audit; accounting; office services; data processing; industrial relations; communications; industrial engineering; cafeteria; medical; and labor relations.

b. Engineering cost centers provide technical expertise in planning, designing, and drafting services. The following are classified as types of engineering; research and development; process; mechanical; chemical; drafting; electrical; and facility.

c. Facilities cost centers provide services for the security; fire control; and general care of the roads, grounds, and railroad beds. The following are classified as facilities: guard; fire; roads and ground care (R&G will contain only those costs directly incurred for the upkeep of R&G, including lawns, foliage, fences, drainage structures and railway track); pollution control; safety; and motor pool drivers.

d. Maintenance cost centers provide repair and maintenance service to final cost objectives and other cost centers. The following are classified as maintenance: carpentry; painting; electrical and refrigeration; welding; riggers; motor pool; railroad repair; and tooling.

e. Material Management cost centers functions are to purchase; store; and control materials, equipment and property within the plant. The following are classified as material management: receiving; shipping; stores; warehousing; material issue and control; internal material transportation; salvage and reclamation; purchasing; material disposal; burning grounds; and property and equipment control.

f. Utilities cost centers provide for the production of and/or distributions of utilities. They include the following: steam, water, gas, electricity, and sewage.

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g. Production support cost centers support the production of products. The intent of this classification is if there is no production at a plant there should be no production support classification. The following are classified as production support: quality control; laundry; test services and laboratories; production scheduling and planning; reliability.

h. Production cost centers are those whose activities directly result in the manufacture of a product (change house included). A production cost center may be at the work station, product, line, or area level. The number and level of cost centers will be worked out with the implementation team.

5.1.1.5 After the individual cost centers have been identified, it is necessary to code each cost center so that the cost center performance reports can be rolled up into the next higher level of responsibility. Because the plants have different organizational structures, it is not possible to universally assign specific codes to specific cost centers. The specific cost center codes must be uniquely developed for each plant.

5.1.2 Purpose Codes: There are five main types of purpose codes which should be identified if applicable. These are:

a. Cost center activity costs incurred in connection with the operation of the cost center and which cannot be identified, in fact or by policy, to products or projects.

b. Standard End Products and intermediate products are used only for direct labor. Their purpose is to identify direct labor by product for comparison to the product labor cost standards and to provide a means of distributing the labor variances to the end products. The plants are to establish the specific codes for the various products and component products. The codes selected will be used throughout the accounting system where product designation is necessary.

c. Special Products are those for which standard costs may not be developed because the products are produced on an irregular basis and in quantities that require less than a month to produce. The specific codes used for specific products will be developed by the plants.

d. Memorandum Projects are used to accumulate PCO authorized cost: (1) outside the normal scope of production, such as GFM rework; or (2) cost that management wishes to identify for control purposes, such as UCARS implementation, special studies, and special research.

e. Projects used to accumulate within cost centers and by project designation, costs which are incurred for separately funded projects. All cost incurred within a cost center for separately funded projects are coded to the cost center and to the project via the purpose code. The plants are to establish the specific codes for the various projects. This will facilitate the identification and allocation of the project labor costs incurred in the operating cost centers.

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5.1.3 The Object Code is to be used by all plants to identify the type or nature of the costs incurred within the cost centers. Examples of the types of costs are:

a. Supplies

b. Production Time

c. Lost Time - product change over

d. Lost Time - equipment breakdown

e. Lost Time - lack of materials

f. Lost Time - reason not defined

5.2 Budgeting: A labor distribution system must be installed which provides information shown in Table 1 for budgeting purposes.

Table 1
LABOR DISTRIBUTION

Labor Account	Detail Required
Direct labor	By production cost center and product
Direct labor rate variance (If standard product costs used)	By production cost center and product
Salaries	By cost center or project
Hourly wage labor	By cost center or project

5.2.1 Monthly budgets for each cost center must be developed prior to the beginning of each contract period. Within each cost center, the cost must be classified by purpose and within purpose by object account. It should be noted that the purpose designating "Cost Center Activity" will incorporate the majority of the object accounts used within each cost center. All other purpose classifications will normally use the labor and supplies object accounts only.

5.2.1.1 Within each classification, where applicable, each cost center must evaluate the amount of directly associated labor which will charge out. In maintenance, coordination will be required to determine the amount of service hours required by all other areas and the amount of hours of service that the maintenance department has available to charge out.

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5.2.2 Cost estimates must be developed for each standard and special product. The estimates need not be more detailed than the information required for the Contractor's Item Production Cost Statement (Unit Cost) (DA Form 4814-R) unless additional detail is desired by internal management. However, it is necessary to develop a bill of material that specifies material quantities by item.

5.2.3 A cost estimate (DD Form 633) must be developed for each funded project. The detail required should correspond to that requested by higher command for control and audit purposes. If the funded project requires the use of materials normally classified as "direct materials" for production purposes, a bill of material for these items must be developed that specifies estimated usage by item.

5.2.4 Production cost standards need to be established for all major intermediate and end products. Production cost standards need not be established for special products.

These cost standards will consist of four major components:

a. Direct material cost by item.

b. Saleable scrap and by-product credit.

c. Direct labor by production cost center.

d. Production cost center overhead (all other costs, except direct labor) accumulated within the production cost centers and identified/allocated to the specific products.

5.2.4.1 The cost standards are to be used on a level of production that assumes an efficient operation at the expected operating capacity for production of the intermediate or end product. If there are significant cost differences among the production lines for the same product, separate cost standards should be developed for each line. The established cost standards are to be reviewed annually and necessary changes made as of the beginning of the fiscal year. No changes are to be made during the fiscal year unless agreed to by the contracting officer. The buildups of the standard production costs are shown in table 2.

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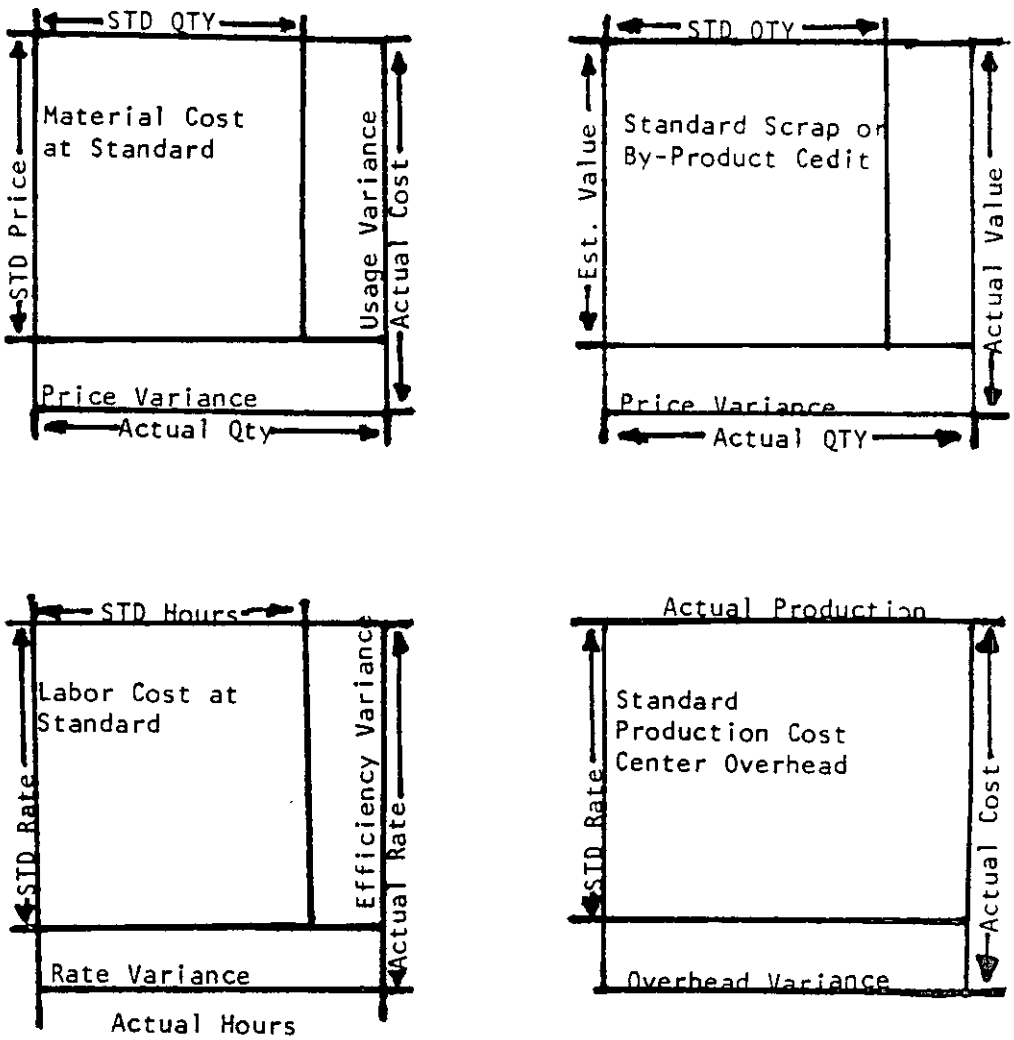
Table 2
STANDARD PRODUCT COST

Cost Component	Unit		Price or Rate	Standard Product Cost
Direct material	MAT'L-QTY STD	x	MAT'L-PRICE STD	= Material cost at STD
Saleable scrap or by-product	MAT'L QTY STD	x	Estimated market value	= Std. scrap or product credit
Direct labor	Labor Time Std	x	Labor-Rate Std	= Labor cost at Std.
Production Cost center O/H (applicable to this product)	Std. direct labor hours	x	OH rate per Std. DLH	= Std. production cost center O/H
				Total Standard Product Cost

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These cost standards should tie into the negotiated DD Form 633, Contract Pricing Proposals. If used in the accounting system they will generate the following variances (Illustration 1) for each product with the exception of the scrap and by-products price variance which is identified in total only. Description of the standards to be established and the detail required is in the following paragraphs.

ILLUSTRATION 1



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5.3 Cost Elements:

5.3.1 Direct Labor (Item 1 of Flow Chart - Page 27)

5.3.1.1 General. Direct labor is that effort applied by on-line production cost center employees who are directly involved in receiving, processing, assembling, inspecting, packing and/or unloading of production and product materials. Direct labor starts with the unloading of essential input material to the production line. It includes unpacking input material; salvaging reuseable containers and preparing them for disposition; handling and movement of material through processing or assembling operations, including movement from one operation or manufacturing area to another by on-line employees; in-process and final inspection required for Government acceptance; packaging end products within the production area; handling of waste material to the point of pickup; and clean up of the production line for temporary shutdown. Direct labor ends with the out-loading of end product materials into carriers for transfer from the production area to temporary storage or final shipment. In the case of propellant and explosive plants, direct labor would include all labor directly associated with such activities as manufacture of acids or other materials used in the manufacture of the end item and waste water disposal. Direct labor would include all on-line operators, inspector operators, operator helpers, operator trainees for normal replacement or increased production on a line currently in production, and other on-line personnel up to and including work leaders and gang bosses. Excluded would be supervision above work leaders or gang bosses; line or shift inspection supervisors; ground crews with the line area; movement of production materials to or from production lines including handling the materials to or from temporary storage in the production area; maintenance, repairmen and machine adjustors except where permanently assigned to the line and the operation is a necessary work station covered by engineering standards; steam and power operators; safety men; clerical employees; medical or first aid personnel; and change-house labor. The elements to be included/excluded in the actual rate are shown in Table 3.

Table 3

Actual Rate - Elements included and excluded are:

	INCLUDED	EXCLUDED
1.	Actual time worked	Meal allowance - fringe
2.	Overtime hours worked	
3.	Holiday hours worked	
4.	Holiday premium	Jury & witness - fringe
5.	Shift differential	
6.	Call-in hours worked	
7.	Call-in hours allowed	
8.	Reporting to work hours worked	
9.	Reporting to work hours allowed	
10.	Detailed differential	

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5.3.1.2 Within production cost centers, direct labor rates are to be established by major production operations. The labor-rate standards for the production operations are to be based on the average expected wage for the coming year of all productive employees performing that operation within the cost center. The labor-rate standards are to include estimated fringe benefits at a rate based on previous experience and modified for expected changes. Estimated fringe benefit rates are to be developed on a plant-wide basis. These rates will then be applied to the labor dollars incurred to spread the estimated costs of fringe benefits over the year (see 5.3.3).

5.3.1.3 The amount of labor-time standards by operation are to be established by engineering studies which provide allowances for normal idle time such as start-up work, breaks and cleanup. Non-routine idle time such as product changeovers or equipment breakdowns are to be excluded from the standards. These non-routine items are separately identified as actual direct labor and reported as variance explanations.

5.3.1.4 Direct labor is charged to the productions cost centers only. If individuals from other cost centers are used as direct labor, their time is charged to the borrowing production cost center. In addition to identifying direct labor by production cost center, direct labor needs to be identified by intermediate or end product via the purpose code in order to distribute the labor variances to the appropriate products when the standards are used in the cost system. At the end of the month the direct labor reported but not yet paid is accrued.

5.3.1.5 If standards are used in the system the balance remaining in the standard direct labor accounts are the labor variances. These variances are separated into two elements; labor-rate variance (LRV) and labor-time variance (LTV). The LRV is the difference between: the actual direct labor cost plus allocated fringes and the standard direct labor rate per hour times the actual direct labor hours incurred. The LTV is the difference between the actual hours incurred at the standard rate and the standard hours earned at the standard rate. These labor variances are identified by end and intermediate product via the coding structure. For intermediate products, the labor variances are allocated to the standard end products based on their respective standard direct labor dollars incurred during the month in the cost center whose costs are being allocated.

5.3.2 Other labor (Item 2 of Flow Chart)

5.3.2.1 Labor costs must be identified by cost center and within cost center by purpose. For those individuals whose time is routinely identified by a single purpose classification, no labor reporting system need be established. For those individuals whose time cannot be routinely identified by a single purpose classification, time must be reported by purpose and if applicable by specific product and funded project. Other labor includes both hourly and salaried personnel (salary expenses do not have to be segregated by exempt and non-exempt for cost accounting purpose).

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5.3.3 Fringe Benefits (Item 3 of Flow Chart)

5.3.3.1 There are two types of fringe benefits, those that are actual (not accrued) and those that are accrued. The fringe benefits not accrued cannot be reasonably estimated in advance (such as earned awards, disability, severance, tuition, etc.) and are generally charged directly to the cost centers to which the individuals are assigned, or the cost center that controls the budget input for the actual fringe benefits. The fringe benefits accrued are those that can be reasonably estimated such as vacation, holiday, allowed absences, taxes, group insurance, pensions, etc. These benefits are estimated for the coming year, as one rate, if possible. Absorption rates are calculated at the beginning of the year based on the total estimated yearly labor cost. These rate percentages are then used to allocate estimated fringe benefits to the cost centers' labor during the year. To insure that the estimated fringe benefits equal the actual fringe benefits, the estimated percentages should be reviewed periodically and appropriate adjustments made in the absorption rates. The adjustment needed at the end of a year should be absorbed in that year. The estimated fringe benefits are charged to the labor accounts on which the fringe benefits are allocated.

5.3.4 Other incurred costs (Item 4 of Flow Chart)

5.3.4.1 Other incurred costs include all costs except labor, direct materials, and inventoried supplies. Other incurred costs include home office expenses, outside services, etc. When incurred, these costs must be specifically identified by the cost center and purpose code, if known, responsible for the expenditure. If responsibility is shared among cost centers, the costs are to be divided among the respective cost centers on a benefiting basis or charged to a single cost center by policy. For example, it could be decided that the cost of all office forms are to be charged exclusively to the plant managers' cost centers because their cost is insignificant and the time required to identify specific usage by cost center is not considered worth the increased accuracy obtained.

5.3.5 Supplies (Item 5 of Flow Chart)

5.3.5.1 The valuing of inventoried supply items and costing of their usage may use any of the following methods:

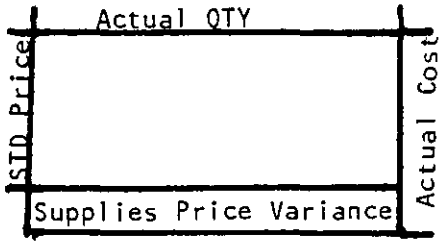
a. Actual cost including freight-in and net of cash discounts.

b. Moving average cost including freight-in and net of cash discounts.

c. Standard pricing including freight-in and net of cash discounts.

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The supplies price standards, if used, will generate a supplies price variance. (Illustration 2)



5.3.5.2 Supplies that are inventoried are placed into the supplies inventory account at actual or standard cost. If standard costs are used, the standards established should be reviewed periodically and updated as needed. The supplies price variance should be charged or credited to the purchasing cost center monthly.

5.3.5.3 Supplies are charged to the cost centers at actual or standard cost as the supplies are requisitioned for use. Inventory adjustments resulting from physical counts should be charged to a material management cost center.

5.3.5.4 If a supply type item is on the bill of material for a project when it is issued, it will be classified as a direct material to the project. If the same item is issued in support of production (not included in the bill of materials) it will be treated as a supply.

5.3.6 Maintenance (Item 6 of Flow Chart)

5.3.6.1 A maintenance work order system must be established to identify maintenance hours incurred by cost objective (direct charges to products, projects, or cross charged to other cost centers). The maintenance rate to charge against the hours incurred can be a standard rate or actual rate. Either rate will be developed in the same manner. Each maintenance cost center will divide the total maintenance cost center costs by the number of maintenance service hours available for servicing other cost centers (outside the maintenance department), products or projects. The available maintenance hours would exclude supervision and projected maintenance hours spent within the maintenance department. The cost of supervision, fringe benefits, supplies, and hours spent within, will be charged off against the service hours as the maintenance overhead.

5.3.6.2 If a standard rate is used, the difference between the Maintenance Cost Center's actual cost and the amount charged to other cost centers, projects, or products via the work order system is the Maintenance Cost Center variance. The Maintenance Cost Center variance is charged monthly to the Plant Manager's cost center. The cost of materials used by the maintenance department will be charged direct to cost objectives, if identifiable, or if not, it will be charged off in maintenance overhead.

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5.3.7 Production (Item 7 of Flow Chart)

5.3.7.1 The standard/actual direct labor is distributed to the products transferred to finished goods during the month. Production is reported only to finished goods inventory as the units are completed and transferred. The standard/actual costs are calculated for the completed units for each production cost center. Finished goods inventory is then debited for the standard/actual costs and the various production cost centers are credited for their respective standard/actual labor.

5.3.7.2 The production cost center overhead is all cost within the production cost center (other than direct labor), which includes supervision, clerical, supplies and maintenance cross charged to the cost center. Overhead is distributed to products/projects based on standard/actual direct labor dollars.

5.3.7.3 Because these costs vary directly with production as shifts and lines change, the production cost center overhead rate per direct labor dollar is to be based on the total estimated level of production. Costs that are associated with activities other than production are to be excluded when developing the standard production overhead rate.

5.3.8 Production Support (Item 8 of Flow Chart)

5.3.8.1 In order to allocate the costs of the production support cost centers to products and projects, each production support cost center must:

a. Distribute those costs which can be specifically identified to a product or project via the purpose code.

b. Distribute the incremental balance to products and projects based on the relative percent of standard/actual labor dollars.

5.3.9 Utilities (Item 9 of Flow Chart)

5.3.9.1 All utility costs will be metered, factored, or charged by engineering estimates to products and projects. The factors or estimates developed are to be audited by the COR for reasonableness prior to any significant changes.

5.3.10 Material Management (Item 10 of Flow Chart)

5.3.10.1 The cost within the material management cost centers are distributed as follows:

a. Direct charges via the purpose codes for projects and products are distributed first.

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b. When appropriate, the residual costs in cost centers relating to specific functions, are allocated to the benefiting cost objectives, products, or projects, based on the direct charge labor from those cost centers.

c. The residual costs of the other cost centers are allocated to all products and projects using the allocation base determined to be appropriate under the Cost Accounting Standards.

5.3.11 Engineering (Item 11 of Flow Chart)

5.3.11.1 The costs within the engineering cost centers are distributed as follows:

a. Direct charges via the purpose code for projects and products are distributed first.

b. When appropriate, the residual costs in cost centers relating to specific functions; i.e., production, testing, modernization, etc., may be allocated to the benefiting cost objective, products, or projects, based on the direct charge labor from those cost centers.

c. The residual costs of the other cost centers are allocated to all products and projects using the allocation base determined to be appropriate under the Cost Accounting Standards.

5.3.12 Facilities (Item 12 of Flow Chart)

5.3.12.1 The costs of Facilities centers should not generally direct charge. All costs remaining will be distributed on the allocation base determined to be appropriate under the Cost Accounting Standards.

5.3.13 General and Administrative (Item 13 of Flow Chart)

5.3.13.1 The costs of G&A centers should not be generally direct charge. The remaining costs will be distributed to products and projects based on value added or total cost input, whichever is determined to be appropriate.

5.3.14 Overhead Variance (Item 14 of Flow Chart)

5.3.14.1 If a standard overhead rate is used (for both products and projects) when the standard rate is taken against actual costs the remaining amount is the overhead variance. This variance is allocated to the standard and products on the same basis as the original allocation.

5.3.15 Outside Services (Item 15 of Flow Chart)

5.3.15.1 If outside services can be directly charged to a benefiting final cost objective, without being charged to a cost center, the costs will be excluded for the value added base.

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5.3.15.2 Outside services directly identifiable to functional classifications other than G&A, will be so identified and included in the value added base. These services will be distributed as part of the residual costs of each classification.

5.3.16 Fees (Item 17 of Flow Chart)

5.3.16.1 There are at least three types of fees, other than fixed fees, earned by the contractors: base fee plus award fee, base fee plus management fee, and base fee plus incentive fee. The amount of the base fee and the incentive formula are normally negotiated prior to production. The amount of the award fee, however, is determinable after production and is based on the Government's evaluation of the contractor's overall performance. The flow of fees through UCARS is explained below.

5.3.16.2 The fee bearing costs, as stated contractually, will be estimated at the beginning of the accounting period. The estimated costs will be used to develop a base fee rate. As the fee bearing costs are incurred, the base fee will be applied. At the end of the accounting period, the base fee variance will be allocated to the period's fee bearing costs on the remaining open orders.

5.3.16.3 The award/incentive fee to be received at the end of the contractual period is to be estimated and allocated to products and projects monthly on the same basis as the base fee allocation. The estimated fee should be based on historical data and agreed to by the contracting officer.

5.3.16.4 The award/incentive fee variance, which is the difference between the estimated and actual fee, is to be allocated to the period's production and/or projects on the same basis as the base fee allocation.

5.3.16.5 The amount of management fee earned is negotiated and applied, depending on the wording of the contract.

5.3.17 Direct Material (Item 16 of Flow Chart)

5.3.17.1 Direct Material, as distinguished from repair and maintenance material and operating supplies, is material which becomes an integral part of the product or project in accordance with the specifications. Direct material will be categorized into two types: plant procured material (PPM) and Government furnished material (GFM) (see 3.121). A bill of materials will be established for each item. Standards will be built into the material estimated costs where possible.

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The Material-Price Standard for PPM is the average expected acquisition price for the coming year, including freight-in and net of cash discounts. GFM will be shown at actual cost reported. Material previously purchased and owned by the Government that is supplied to the contractor at no cost will not be reported.

5.3.17.2 When a specific material can be procured from different sources, a single price must be developed to avoid the problems of tracing the material through the accounting process. The established price is to be based on the most common source of the material.

5.3.17.3 The initial recording of all direct materials can be at either standard price or actual costs. If standard costs are used, the material price standard must be identified by item, as received, in order to determine the price variances and update the perpetual inventory records. If actual costs are recorded, the only variance will be reflected at the end of the month when the actual costs of quantities produced are compared to the standard cost estimate.

5.3.17.4 The material-quantity standards are to be established for direct material for each major intermediate and end product. The material-quantity standards are to be based on engineering studies and are to allow for the maximum acceptable material losses resulting from the generation of defective units. For those processes which do not consume all of the direct materials placed in process, and for which the unused direct material is used in other products (such as in chemical processing), only the net usage is to be considered in establishing the usage standards. For those products whose manufacturing processes produce a by-product that is then used in another product, an adjustment to direct materials must be made between the products. The value of this adjustment will be the standard usage of the by-product times its aquisition cost or its market value less distribution costs, whichever is lower.

5.3.17.5 Standards for each major intermediate and end product are to be established for saleable scrap if significant amounts of scrap (over 3 percent of standard material cost) are generated during the production process. Saleable scrap would include turnings, cutoffs, grinding, and defective units. The standards established need only be stated in terms of dollars for accounting purposes. Similar standards for by-products (if over 3 percent of standard total cost) need to be established. The scrap and by-product estimates are be be combined in one standard for each major intermediate or end product.

5.3.17.6 The usage of direct materials (Item 16 of Flow Chart) is charged at standard/actual cost to either the Work-In-Process Inventory Account or to projects. The actual usage of direct materials will be determined by a materials requisition system or by a monthly physical inventory depending on the nature of the direct material. The Work-In-Process Inventory account must be maintained by major direct material item or groups of items in order to later determine the usage variances by item and by product. To correctly distribute the month end balance, a subsidiary record by direct material must be maintained.

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5.3.17.7 At the end of the month, the standard cost of the ending work-in-process inventory and the standard products transferred to the finished goods inventory for the month needs to be computed and the various cost elements identified by product. The individual production cost center must identify the standard cost for direct labor and overhead included in the goods transferred to finish goods inventory and the ending work-in-process inventory. Each product must identify: Essential Materials, Government Furnished Materials, Direct Material By-Product Adjustment, and Saleable Scrap.

5.3.17.8 If standard cost is used, the direct material variances (price and quantity) (Item 18 of Flow Chart) are allocated to the end products transferred to the finished goods inventory during the month based on their relative usage percentages of the various direct materials. Units of production are considered complete, and reported as such, only after they are packaged or crated. Separate product codes are to be used to distinguish among the various packing or crating alternatives. Prior to packing or crating, the units of production are to be inventoried and reported as work-in-process.

5.3.17.9 If actual costs are used, at the end of the month costs must be computed and identified to the end products transferred to finished goods inventory and ending work-in-process balance. Adjustments for work-in-process to finished goods will be at a weighted moving average. The items transferred must still identify direct materials (PPM and GFM); direct labor; and the indirect costs separately. If actual costs are used they should be compared to the estimated standard costs at month end.

5.3.17.10 The quantities of saleable scrap and by-products (Item 21 of Flow Chart) generated during the month must be reported by caliber and type for the purpose of recording the additions to the scrap and by-product inventory. The value used will be the estimated market value established at the beginning of the production year. In addition, the saleable scrap and by-products must be identified by the generating product if the estimated product costs include a cost adjustment for saleable scrap and by-products.

5.3.17.11 At the end of the month, the standard allowance for scrap and by-products is computed by product when applicable for the products transferred to finished goods for the month. The difference between the scrap and by-products generated and the scrap and by-products allowed is the scrap and by-products variance. This amount is transferred to the products in Finished Goods Inventory.

5.3.18 Memorandum Projects (Item 20 of Flow Chart)

5.3.18.1 Costs may be accumulated for memorandum project (PCO authorized scopes of work) by use of purpose codes. However, the costs will flow thru the system in the normal manner. This cost is collected only for informational purposes.

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5.4 Production Quantities:

5.4.1 Products accepted by the Government against a specific Procurement Request Order Number (PRON) reduce the plant's finished goods inventory. The information needed for products provided to the Government is the date, product, quantity and PRON.

5.4.2 To determine the accumulated cost of standard products accepted by the Government, the average cost per unit is developed by adding the costs in finished goods at the beginning of the month to the costs incurred for the month and dividing by the total units available for acceptance. The unit cost thus developed is used to cost the units shipped during the month. In addition, averages must be computed for each cost category as appears on the product report for purposes of identifying the components of the costs transferred to the various PRON's.

5.5 Closing of Orders

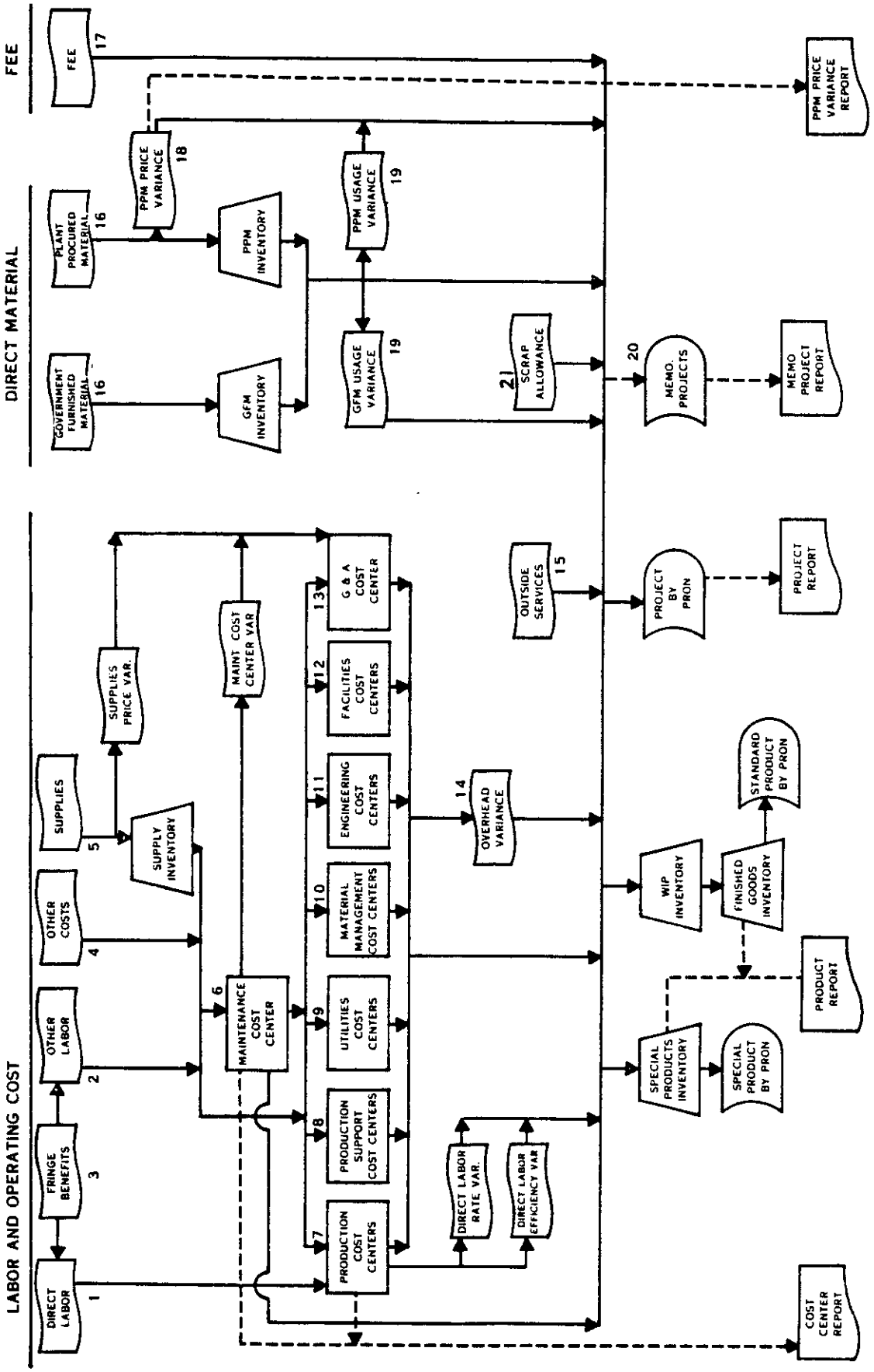
5.5.1 Small dollar orders may be closed as they are completed during the contractors' accounting period. The order will be closed with the costs resulting from the use of annualized overhead rates and estimated fee agreed to by the Principle Contracting Officer. A small dollar order is one which has incurred $200 thousand or less of costs in the current accounting period.

5.6 Reports

5.6.1 The cost information required from the system is shown at Appendix A.

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COST FLOW CHART



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6. Notes.

6.1 Data Requirements.

"When this standard is used in an acquisition which incorporates a DD Form 1423, Contract Data Requirements List (CDRL), the data requirements identified below shall be developed as specified by an approved Data Item Description (DD Form 1664) and delivered in accordance with the approved CDRL incorporated into the contract. When the provisions of the DoD FAR clause on data requirements (currently DoD FAR Supplement 52.227-7031) are invoked and the DD Form 1423 is not used, the data specified below shall be delivered by the contractor in accordance with the contract or purchase order requirements. Deliverable data required by this standard is cited in the following paragraph.

Paragraph No	Data requirement title	Applicable DID	Options
1.1	Contractor's Plant Cost Statement By Appropriation	DI-F-1211	--
1.1	Contractor's Item Cost Statement (Unit Cost)	DI-F-1212	--
1.1	Personnel Utilization Report	DI-F-1213	--

(Data item descriptions related to this standard, and identified in section 6 will be approved and listed as such in DoD 5000.19-L., Vol. II, AMSDL. Copies of data item descriptions required by the contractors in connection with specific acquisition functions should be obtained from the Naval Publications and Forms Center or as directed by the contracting officer.)

6.2 Changes from previous issue. Asterisks or vertical lines are not used in this revision to identify changes with respect to the previous issue due to the extensiveness of the changes.

Custodian:
Army - AL

Review Activity
Army - AR

Preparing Activity:
Army - AL

(Project MISC-A055)

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10-1 Preparation instructions for DA Form 4812-R, Contractor's Plant Cost Statement by Appropriation (Figure 1). Manual submission will be made on DA Form 4812-R, locally reproducible on 8 1/2- x 11-inch paper through your Forms Management Officer (FMO). Mechanized submissions are acceptable if the DA Form 4812-R format is followed. The last report of the accounting period will include all year-end adjustments because of overhead variances. All cost figures should be in thousands rounded to the nearest hundredth. In addition, the contractor's negotiated annual target costs will be reported within 15 working days of an agreement.

a. Heading Information: Self-explanatory.

b. Funding Sources: This summary report will have actual costs for a given period in eight columns reflecting the following:

(1) Columns a and b - actual production costs, which contain annualized overhead rate, to include Conventional Ammunition Working Capital Fund, AMS 4110 funds, and other production activities.

(2) Columns c and d - actual production base support costs, which contain annualized overhead rate, AMS 4200, and other nonproduction activities.

(3) Columns e and f - actual Operation and Maintenance Army (OMA) costs, which contain annualized overhead rate.

(4) Column g - maintenance allocation will be memoranda entries of the costs charged to other classifications.

(5) Column h - will be a total of column a through f, for each line.

c. Production Costs: These will be broken down into the following:

Line 1 - Direct Materials. See detailed instructions 5.3.17.

Line 2 - Other Direct Cost. To include outside services and direct purchases of material such as tooling, that can be directly charged to the benefiting cost objective. This cost will be excluded from the value added base.

Line 3 - Direct Labor without Fringe Benefits. See detailed instructions 5.3.1.

Line 4 - Fringe Benefits. The fringe benefits associated with line 3 only.

Line 5 - Direct Labor Hours. Incorporate the hours associated with line 3.

Line 6 - Production Cost Center Overhead. See detailed instructions 5.3.7.

Line 7 - Production Support. See detailed instructions 5.3.8.

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Line 8 - Utilities. See detailed instructions 5.3.9.

Line 9 - Maintenance. See detailed instructions 5.3.6.

Line 10 - Material Management. See detailed instructions 5.3.10.

Line 11 - Engineering. See detailed instructions 5.3.11.

Line 12 - Facilities. See detailed instructions 5.3.12.

Line 13 - General and Administrative. See detailed intructions 5.3.13.

Line 14 - Total Overhead. Sum of lines 6 through 13.

Line 15 - Funded Inventory. Special inventory that is procured for only a specific order, due to the uniqueness of the item. If production is terminated before delivery of the total quantity, the costs associated with the inventory would be charged directly to the particular order. Only the net change will be reported.

Line 16 - Capital Assets. The total value of acquired funded fixed assets, which are identified to final cost objectives.

Line 17 - Fee. Depending on the type of contract report base fee in column a and award/incentive fee in column b.

Line 18 - Total Contractor's Cost. Self explanatory.

Line 19 - Government Furnished Materials. See detailed instructions 5.3.17.

Line 20 - Total Cost. Self explanatory.

d. Nonproduction Costs (columns c and d) and OMA Costs (columns e and f). Follow the same instructions for these four columns as pertained to production.

e. Maintenance Cross Charge (column g). This is a memorandum entry of the costs that were charged to each classification. The total on line 20 will be a total of all maintenance costs to include all costs reported in column g plus line 9 columns a, c and e.

f. Distribution. The cost statement will be submitted to the Contracting Officer's Representative (COR) in accordance with the contract terms.

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10.2 Preparation instructions for DA Form 4813-R, Contractor's Personnel Utilization Report (Ammunition Loading Plants) (Figure 2). Manual submissions will be made on DA Form 4813-R, locally reproducible on 8 1/2- x 11-inch paper, head-to-head, through your FMO. Mechanized submissions are acceptable if the DA Form 4813-R format is followed. If the number of cost centers exceeds the space available on the form, a summary will be shown on the form and the detail will be submitted as an attachment to the form.

a. General Instructions. The allocation of personnel within the various categories will be on the average utilization during the reporting period. The definitions and determination of where personnel are charged will be in accordance with the detailed instructions in paragraph 5 of this MIL-STD.

b. Heading Information. Self-explanatory.

c. Part I, Section A, Production Employees. This section will show all personnel assigned to production cost centers. Each cost center will display the number of personnel assigned as direct quality control, direct labor, direct labor nonproduction, production cost center overhead (indirect) and the total. Also, include the total number of overtime hours worked during the month.

d. Section B, Categories of Overhead. The cost centers in this section should be able to identify their time direct to a project or product with remaining costs allocated as indirect. In general, it is felt that production support, utilities, material management, and engineering may have both direct and indirect charges. Facilities and G&A will generally not show any direct charges. If a classification only charges as indirect, the number of employees should be shown in the indirect and total columns. The columns to be included are direct charges to production, direct charges to nonproduction, indirect, total, and overtime hours worked.

e. Section C, Maintenance. Maintenance refers to those cost centers whose function it is to provide repair and maintenance directly to nonproduction efforts. The maintenance effort charged to other maintenance centers will be considered "in-house." The maintenance section will be displayed two ways:

(1) By cost center. Provide a listing of each maintenance cost center. Each cost center will then show the number of people charging direct to production, direct to nonproduction, and indirect (the indirect column will include the personnel charging "in-house" and charging the other classifications).

(2) Maintenance Memorandum (Labor Breakout). This section will display a breakdown of only the indirect people of the maintenance cost centers and is not to be added in the totals section. The "in-house" should include all the indirect people who will be spread to production, nonproduction and the other classifications, and the equivalent people who charged other maintenance centers. Each classification should include all the maintenance personnel who charged direct to that classification.

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f. Section D, Totals. This section should recap the total contractor strength as of the date of the report. This section will include the totals from production (section A), overhead (section B), and maintenance (section C). (Direct labor and quality control in section A will be added together when identifying the direct charges to production.) The leave line will reflect all types of leave (personal, maternity, sick, military, etc.) for which salary and wages are being paid. The tenant support line will contain all charges to activities directly supported by other than HQ, AMCCOM, funds; i.e., National Guard, depot operations, or other agencies located on the facilities.

g. Section E, Nonproduction Effort. Personnel in this section could be charged from any of section A-C and, therefore, are reported for information only and not added into the total plant strength. This section will include:

(1) Layaway Employees. This category includes all labor required to layaway a particular line or area, including decontamination to a XXX status, dismantling, preserving, and preparing the equipment and building to prevent deterioration. Layaway labor will include returning all supplies, equipment, etc., to the stores department and removing material to burning grounds for disposal. Includes supervisory, clerical and other indirect personnel primarily assigned to this function and not used to support current production.

(2) Standby Maintenance (Maintenance After Layaway). This category will include that labor which is necessary to maintain lines after such lines have been laid away. Standby labor includes, but is not limited to, the following: painting buildings; oiling and greasing equipment; maintaining buildings and equipment; and maintaing pipe lines and storage tanks in production lines. Includes supervisory, clerical and other indirect personnel primarily assigned to this function and not used to support current production.

(3) Rehabilitation/Reactivation Employees. This category includes all labor used for preparation for reuse of equipment and buildings in a line.

h. Part II. Commanding Officer's Organization (under AMCCOM) will contain the military and Government civilian personnel located on-site.

i. Part III. Plants strength will contain the totals from section I-D and section II.

j. Distribution. The report will be submitted to the Contracting Officer's Representative (COR) in accordance with the contract terms.

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10.3 Preparation instructions for DA Form 4814-R, Contractor's Item Production Cost Statement (Unit Cost) (Figure 3). Manual submissions will be made on DA Form 4814-R, locally reproducible on 8 1/2- x 11-inch paper through your FMO. Mechanized submissions are acceptable if the DA Form 4814-R format is followed. The form will be prepared for the items identified in the contract. The cost figures should be to three decimal places.

a. Heading Information. Self-explanatory.

Block 1 - Item identification will indicate the nomenclature and National Stock Number (NSN).

Block 2 - Units Accepted will indicate the number of that item accepted by the Government during that month.

Block 3 - Units waiting acceptance/average cost will include all completed items not accepted by the Government during the month with the average cost per item.

b. Columns will be as follows:

Column a. DD Form 633 estimate will reflect the costs shown on the annual Contract Pricing Proposal (DD Form 633) as provided in the backup detail of the proposal.

Column b. Current month actual production costs which contain annualized overhead rates, of a particular item.

Column c. Current month over (under) amount. Variance between columns a and b.

Column d. Report large one-time adjustments.

Column e. Year-to-date actual. The accumulation of all months under the current contract period.

Column f. Year-to-date over (under) amount. The variance between the DD Form 633 estimated (column a) and the average costs (column e).

Column g. DD Form 633 percent will reflect column f divided by column a.

c. Column a information will reflect the following:

(1) Direct Materials.

Line 1. An estimate of all direct materials, which are purchased by the contractor.

Line 2. An estimate of scrap credit and by-product adjustment applicable to the item. Scrap credit represents the credit amount used in the development of the material cost, and the by-product adjustment represents the average of past by-product costs shown against the product. A credit number will be shown in brackets.

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Line 3. Total value of lines 1 and 2.

(2) Line 4 - Other Direct Costs. To include outside services and purchases of material, such as tooling, that can be directly charged to the benefiting cost objective. This cost will be excluded from the value added base.

(3) Direct Labor.

Line 5 - Hours. This is the estimated hours per item.

Line 6 - Cost. This is the estimated cost per item.

Line 7 - This is the estimated fringe benefits in support of direct labor dollars.

Line 8 - Total of lines 6 and 7.

(4) Direct charge overhead.

General. Each functional classification will have the capability to direct charge time and costs to a project or product, depending on the capabilities of the cost center and the accounting system. Therefore, each overhead classification will be broken out as direct overhead. In general, it is not anticipated that there will be direct charges out of the Facilities and G&A classifications.

Line 9 - Production Cost Center Overhead. All cost centers whose activities directly support the manufacture of the product.

Line 10 - Production Support. An estimate of the related costs. See detailed instructions 5.3.8 for related information.

Line 11 - Utilities. Estimated figures should be supported by meter readings of the past or engineering estimates. See detailed instructions 5.3.9 for related information.

Line 12 - Maintenance. Direct charges to the item from the maintenance cost centers.

Line 13 - Materials Management. See detailed instructions 5.3.10 for related information.

Line 14 - Engineering. See detailed instructions 5.3.11 for related information.

Line 15 - Facilities. See detailed instructions 5.3.12 for related information.

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Line 16 - General and Administrative. See detailed instructions 5.3.13 for related information.

Line 17 - Total Direct Charge Overhead. Sum of lines 9 through 16.

(5) Allocated Overhead. Line 18 - An estimate of the amount of allocated (indirect) overhead charged from all functional classifications.

(6) Line 19 - Total Fee. An estimate of the base fee and award/ incentive fee to be charged against the item.

(7) Line 20 - Capital Assets. The total value of acquired funded fixed assets, which are identfied to production funds.

(8) Total Contractor's Cost.

Line 21 - Total Contractor's Cost. Sum of lines 3, 4, 8, 17, 18, 19, and 20.

(9) GFM.

Line 22 - Government Furnished Materials. An estimate of the GFM per 3.121 to be used in the manufacture of the item.

(10) Total Cost.

Line 23 - Total Product Cost. Sum of lines 21 and 22.

(11) Quantity.

Line 24 - Number of Units Produced. The quantity of items transferred to finished goods inventory plus the equivalent units of the difference between the beginning and ending balance of the work-in-process account.

d. Monthly Actual Costs. Column b will reflect the actual costs of a given month. The costs will be collected in the manner described for column a.

e. Distribution. The cost statement will be submitted to the Contracting Officer's Representative (COR) in accordance with the contract terms.

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CONTRACTOR'S PLANT COST STATEMENT BY APPROPRIATION

(MIL-STD-1260)

MONTH ENDING

FORM APPROVED – OMB
NO. 0704-0188
EXPIRATION DATE JUNE 30, 1986

TO:

Commander
US Army Armament, Munitions and Chemical Command
ATTN: AMSMC-CPF-P
Rock Island, IL 61299-6000

FROM:

CONTRACT NO.

LINE	ITEM	FUNDING SOURCE						MAINTENANCE CROSS CHARGE	TOTAL
		PRODUCTION		NONPRODUCTION		OMA			
		DIRECT a	INDIRECT b	DIRECT c	INDIRECT d	DIRECT e	INDIRECT f	g	h
1	DIRECT MATERIAL								
2	OTHER DIRECT COST								
3	DIRECT LABOR								
4	FRINGE BENEFITS								
5	DIRECT LABOR HOURS								
6	PDN COST CENTER OVERHEAD								
7	PRODUCTION SUPPORT								
8	UTILITIES								
9	MAINTENANCE								
10	MATERIAL MANAGEMENT								
11	ENGINEERING								
12	FACILITIES								
13	GENERAL AND ADMINISTRATIVE								
14	TOTAL OVERHEAD								
15	FUNDED INVENTORY								
16	CAPITAL ASSETS								
17	FEE								
18	TOTAL CONTRACTOR COSTS								
19	GOVT FURNISHED MATERIALS								
20	TOTAL COST								

COMMENTS

DA FORM 4812-R, DEC 85

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FIGURE 1
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CONTRACTOR'S PERSONNEL UTILIZATION REPORT
(AMMUNITION LOADING PLANTS)

(MIL-STD-1260)

PERIOD ENDING

FORM APPROVED - OMB
NO. 0704-0188
EXPIRATION DATE JUNE 30, 1986

TO:

Commander
US Army Armament, Munitions and Chemical Command
ATTN: AMSMC-CPF-P
Rock Island, IL 61299-6000

FROM:

PART I - CONTRACTOR'S ORGANIZATION

SECTION A - PRODUCTION EMPLOYEES

DESCRIPTION/NOMENCLATURE/ OR COST CENTER	QUALITY CONTROL	DIRECT LABOR		DIR CHARGED LABOR		OVERHEAD (INDIRECT)	TOTAL	OVERTIME HOURS
		PDN	NONPDN	PDN	NONPDN			
TOTAL								

SECTION B - OTHER CLASSIFICATIONS

	DIR CHARGE TO PRODUCTION	DIR CHARGE TO NONPRODUCTION	INDIRECT	TOTAL	OVERTIME HOURS
PRODUCTION SUPPORT EMPLOYEES					
TOTAL					
UTILITIES					
TOTAL					
MATERIAL MANAGEMENT EMPLOYEES					
TOTAL					
ENGINEERING EMPLOYEES					
TOTAL					
FACILITIES EMPLOYEES					
TOTAL					

DA FORM 4813-R, DEC 85

FIGURE 2 37/38

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CONTRACTOR'S ITEM PRODUCTION COST STATEMENT (UNIT COST) (MIL-STD-1260)	MONTH ENDING	FORM APPROVED-OMB NO. 0704-0188 EXPIRATION DATE JUNE 30, 1986
TO: Commander, US Army Armament, Munitions and Chemical Command, ATTN: AMSMC-CPF-P, Rock Island, IL 61299-6000	FROM:	CONTRACT NO.

1. ITEM IDENTIFICATION	2. UNITS ACCEPTED	3. UNITS WAITING ACCEPTANCE/AVERAGE COST

LINE	ITEM	DD FORM 633 ESTIMATE a	CURRENT MONTH ACTUAL b	CURRENT MONTH OVER (UNDER) AMOUNT c	CURRENT MONTH ADJUSTMENT d	YEAR-TO-DATE ACTUAL e	YEAR-TO-DATE OVER (UNDER) AMOUNT f	DD FORM 633 PERCENT g
	DIRECT MATERIALS							
1	DIRECT MATERIAL COST							
2	SCRAP CREDIT/BY-PRODUCT ADJUSTMENT							
3	TOTAL DIRECT MATERIALS							
4	OTHER DIRECT COSTS							
	DIRECT LABOR							
5	HOURS							
6	COST							
7	FRINGE BENEFITS							
8	TOTAL DIRECT LABOR							
	DIRECT CHARGE OVERHEAD							
9	PRODUCTION COST CENTER OVERHEAD							
10	PRODUCTION SUPPORT							
11	UTILITIES							
12	MAINTENANCE							
13	MATERIAL MANAGEMENT							
14	ENGINEERING							
15	FACILITIES							
16	GENERAL AND ADMINISTRATIVE							
17	TOTAL DIRECT CHARGE OVERHEAD							
18	TOTAL ALLOCATED OVERHEAD							
19	TOTAL FEE							
20	CAPITAL ASSETS							
21	TOTAL CONTRACTOR'S COST							
22	GOVERNMENT FURNISHED MATERIALS							
23	TOTAL PRODUCT COST							
24	NUMBER OF UNITS PRODUCED							

COMMENTS

DA FORM 4814-R, DEC 85

FIGURE 3

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CONTRACTOR'S PERSONNEL UTILIZATION REPORT (Cont)

GENERAL AND ADMINISTRATION EMPLOYEES

TOTAL					

SECTION C – MAINTENANCE EMPLOYEES

TOTAL					

(MAINTENANCE MEMORANDUM LABOR BREAKOUT)

DISTRIBUTION	EMPLOYEES
IN HOUSE	
PRODUCTION	
PRODUCTION SUPPORT	
UTILITIES	
MATERIAL MANAGEMENT	
ENGINEERING	
FACILITIES	
GEN AND ADMINISTRATIVE	
TOTAL	

SECTION D – TOTAL CONTRACTOR STRENGTH

	DIR CHARGE TO PRODUCTION	DIR CHARGE TO NONPRODUCTION	INDIRECT	TOTAL	OVERTIME HOURS
PRODUCTION (SECTION A)					
OTHER CLAS (SECTION B)					
MAINTENANCE (SECTION C)					
LEAVE					
TENANT SUPPORT					
TOTAL					

SECTION E – NONPRODUCTION EFFORT

LAYAWAY					
STANDBY					
REHAB/REACT					
TOTAL					

PART II – COR STAFF

	EMPLOYEES	OVERTIME HOURS
MILITARY		
CIVILIAN		
TOTAL		

PART III – PLANT STRENGTH

	TOTAL	OVERTIME HOURS
TOTAL EMPLOYEES (SEC ID AND II)		

(REVERSE OF DA FORM 4813–R)

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U.S. Army Armament, Munitions
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Rock Island, IL 61299-6000

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STANDARDIZATION DOCUMENT IMPROVEMENT PROPOSAL

(See Instructions – Reverse Side)

1. DOCUMENT NUMBER	2. DOCUMENT TITLE

3a. NAME OF SUBMITTING ORGANIZATION	4. TYPE OF ORGANIZATION *(Mark one)*
b. ADDRESS *(Street, City, State, ZIP Code)*	☐ VENDOR ☐ USER ☐ MANUFACTURER ☐ OTHER *(Specify)*: _____

5. PROBLEM AREAS

a. Paragraph Number and Wording:

b. Recommended Wording:

c. Reason/Rationale for Recommendation:

6. REMARKS

7a. NAME OF SUBMITTER *(Last, First, MI)* – Optional	b. WORK TELEPHONE NUMBER *(Include Area Code)* – Optional
c. MAILING ADDRESS *(Street, City, State, ZIP Code)* – Optional	8. DATE OF SUBMISSION *(YYMMDD)*

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